

behind value-investing are publicly available: Ken French, an esteemed finance professor at Dartmouth, makes available a compilation of data through his website.⁴ French's value portfolios are formed by taking the universe of US stocks, and splitting the universe into 10 portfolios (deciles) on June 30 each year based on each firm's book-to-market ratio. The book-to-market ratio (B/M) is simply the firm's book value of assets divided by its market capitalization. This ratio compares the value of the assets (book) to the price one would pay for the assets. Those firms with higher B/M values are considered to be cheap, or “value” stocks, while firms with lower B/M values are expensive, or “growth” stocks. The B/M ratio is similar to the commonly used earnings-to-price (E/P) ratio. Eugene Fama and Ken French consider B/M a superior metric for the following reason:

*We always emphasize that different price ratios are just different ways to scale a stock's price with a fundamental, to extract the information in the cross-section of stock prices about expected returns. One fundamental (book value, earnings, or cashflow) is pretty much as good as another for this job, and the average return spreads produced by different ratios are similar to and, in statistical terms, indistinguishable from one another. We like BtM because the book value in the numerator is more stable over time than earnings or cashflow, which is important for keeping turnover down in a value portfolio.*⁵

The summary statistics for returns associated with B/M portfolios from January 1, 1927, to December 31, 2014, are presented in [Table 8.1](#). The results are for value-weighted portfolios to the top decile formed on B/M (value stocks) and the bottom decile formed on B/M (growth stocks) using Ken French's data. To illustrate how these portfolios are formed, if there are a thousand stocks in the universe, 100 stocks would go into each B/M decile, and these 100 stocks would be value-weighted, or weighted by their market capitalization among the 100 stocks in a given portfolio. The portfolios are rebalanced every June 30 and the portfolio performance is recorded.